SUBSIDIARY LEGISLATION 364.21

DETERMINATION OF ADDITIONAL PENALTY RULES

12th August, 2025

LEGAL NOTICE 177 of 2025.

Citation and scope.

1. (1) The title of these rules is the Determination of Additional Penalty Rules.

(2) The scope of these rules is to establish the manner in which the additional penalty shall be determined for the purposes of article 68 of the Duty on Documents and Transfers Act, article 52A of the Income Tax Management Act and article 84A of the Value Added Tax Act.

Cap. 364.
Cap. 372.
Cap. 406.

Interpretation.

2. (1) In these rules, unless the context otherwise requires:

"additional penalty" means the additional penalty established in article 68 of the Duty on Documents and Transfers Act, article 52A of the Income Tax Management Act and article 84A of the Value Added Tax Act;

Cap. 364.
Cap. 372.
Cap. 406.

"agreement" means the agreement provided for in article 68 of the Duty on Documents and Transfers Act, article 52A of the Income Tax Management Act and article 84A of the Value Added Tax Act;

Cap. 364.
Cap. 372.
Cap. 406.

"Commissioner" means the Commissioner for Tax and Customs;

"duty on documents and transfers" shall have the same meaning assigned to it by the Duty on Documents and Transfers Act;

Cap. 364.

"endangered tax" means the difference between the tax declared to be chargeable by the taxpayer, after taking into account any exemption, relief, allowance or tax credits to which he may be entitled, and the tax chargeable after considering the same, however such difference shall not include any additional tax and interest;

"offence" means any breach or connected breach as defined in article 68 of the Duty on Documents and Transfers Act, article 52A of the Income Tax Management Act and article 84A of the Value Added Tax Act;

Cap. 364.
Cap. 372.
Cap. 406.

"tax" shall have the same meaning assigned to it by the Income Tax Acts;

Cap. 406.

"value added tax" shall have the same meaning assigned to it by the Value Added Tax Act.

Cap. 364.
Cap. 372.
Cap. 406.

(2) Unless the context otherwise requires, all other words and phrases used in these rules which are not defined herein, shall have the same meaning as assigned to them in the Duty on Documents and Transfers Act, the Income Tax Management Act and the Value Added Tax Act, respectively.

Determination of additional penalty.

3. (1) The additional penalty shall be calculated on the total amount of duty on documents and transfers, income tax, Final Settlement System tax and value added tax, resulting as due in relation to the offence to which the agreement refers.

(2) The additional penalty shall not be less than ten thousand euro (€10,000) but not more than one million euro (€1,000,000) according to a progressive rate as indicated in the Schedule.

Payment method of additional penalty, additional tax and interest.

4. (1) The additional penalty shall be paid immediately upon the signing of the agreement or in instalments over a period of time, as may be determined by the Commissioner.

(2) Where the amount is to be paid in instalments, the first instalment shall amount to at least ten percent (10%) of the additional penalty which shall be paid upon the signing of the agreement. The debtor shall be obliged to provide a guarantee to the satisfaction of the Commissioner covering the payment of the amount of the additional penalty which is still outstanding at the time of the agreement.

(3) Where the debtor defaults on any one or more of the payments in instalments in respect of the tax due, additional tax, interest and additional penalty, the Commissioner shall be entitled to recover the entire outstanding balance which shall become immediately due and payable by virtue of the executive title obtained upon the signing of the agreement.

SCHEDULE
(rule 3)

Endangered Tax (€)	Endangered Tax (€)	Progressive rate (%)
	Up to 1,500,000	15.0
1,500,001	2,500,000	20.0
2,500,001	4,000,000 and over	25.0

Each rate applies only to the portion of the amount falling within its respective bracket